

Vendor Store & Procurement Policy

Sample policy document for Azure AI file search / retrieval testing

1. Purpose

This policy defines the requirements for registering vendors, purchasing goods and services, reviewing vendor performance, and maintaining procurement records. It is intended to promote consistent, transparent, and auditable purchasing practices.

2. Vendor Registration

All vendors must provide basic business information before receiving purchase orders. Required information includes the legal business name, business address, primary contact person, contact number, email address, and applicable registration or tax documentation.

Vendor records must be reviewed annually. Vendors with incomplete or expired documentation may be placed on temporary hold until the required information is updated.

3. Vendor Selection

Purchasing staff should evaluate vendors using price, product or service quality, delivery time, reliability, warranty terms, support availability, and previous performance. For purchases above the organization's approval threshold, at least three comparable quotations should normally be obtained.

4. Purchase Approval Limits

Purchase Amount	Minimum Approval	Quotation Requirement
Up to ■10,000	Department Supervisor	Recommended
■10,001–■50,000	Department Head	At least 2 quotations
■50,001–■250,000	Procurement Manager	At least 3 quotations
Above ■250,000	Executive Approver	At least 3 quotations + formal review

5. Purchase Orders

A purchase order must be issued before a vendor begins work or ships goods, except for approved emergency purchases. The purchase order should identify the vendor, requested items or services, quantity, agreed price, delivery requirements, and authorized approver.

6. Invoice and Payment

Invoices should be matched against the purchase order and receiving documentation before payment. Payment discrepancies must be documented and resolved by the responsible purchasing or finance staff. Standard payment terms are 30 calendar days unless a different term has been approved in writing.

7. Vendor Performance

Vendor performance should be reviewed using delivery accuracy, product quality, responsiveness, pricing consistency, and resolution of issues. Repeated failure to meet contractual requirements may result in corrective action, suspension, or removal from the approved vendor list.

8. Conflicts of Interest

Employees involved in vendor selection or purchasing must disclose actual or potential conflicts of interest. Employees must not accept personal benefits, gifts, or payments intended to influence a procurement decision.

9. Records Retention

Vendor registration documents, quotations, purchase orders, invoices, approvals, and performance records should be retained for at least five years unless a longer period is required by applicable law, contract, or organizational policy.

10. Example Policy Questions

This document can be used to test retrieval questions such as: What approval is required for a ■75,000 purchase? How many quotations are required above ■50,000? What information is required for vendor registration? How long should procurement records be retained? What happens when vendor documentation is expired?